

21 March, 2012

Mr. Peter Mwangi
The Chief Executive Officer
Nairobi Securities Exchange Limited
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Dear Sir,

BRITISH-AMERICAN INVESTMENTS COMPANY (K) LIMITED
GROUP FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2011

We are pleased to enclose the following:

1. The audited Financial Statements of British-American Group for the year ended 31 December, 2011 together with disclosures on the earnings per share.
2. The statement on cash flows and changes in equity for the same period.

The Board of Directors has, in its meeting held on 21 March 2012, approved and recommended to the Annual General Meeting to be held on 20 April 2012, a First and Final dividend for the year ended 31 December 2011 of Shs 0.15 per ordinary share of Shs 0.10 each, subject to withholding tax where applicable, to be paid on or about Friday, 25 May 2012. The register of members will be closed for one day on Friday, 27 April 2012 for the purpose of processing the Dividend.

Yours faithfully,

British-American Investments Co. (K) Ltd

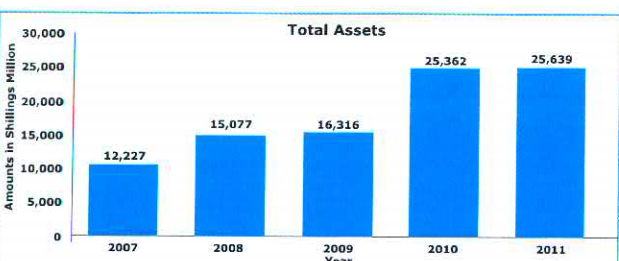
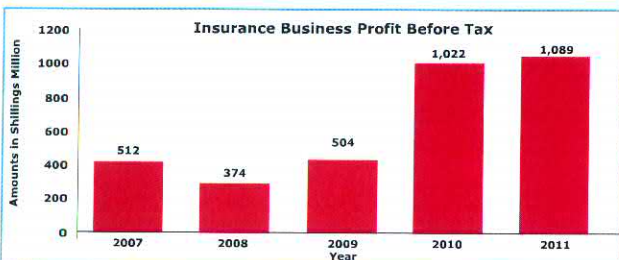
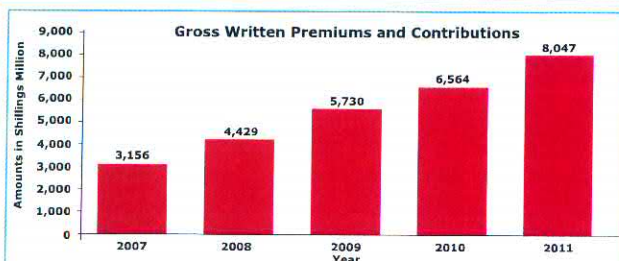


Nancy Kiruki
Group Company Secretary

Encl.

BRITISH-AMERICAN INVESTMENTS COMPANY (KENYA) LIMITED

The Board of Directors is pleased to announce the audited results of the Group for the year ended 31 December 2011



FINANCIAL STATEMENT COMMENTARY

- The insurance and asset management businesses continued to perform in line with the projections achieving an admirable 29% growth over 2010
- The Group recorded significant growth in underwriting profit of Kshs777 million (2010: Kshs152 million)
- The weak performance of our quoted equity portfolio was driven by the poor performance of the stock market as a result of deteriorating global financial markets, high prevailing inflation and interest rates as well as volatility of the Kenya Shilling against hard currencies
- The Group registered unrealized losses on financial assets through the profit and loss account amounting to Kshs3.3 billion
- The total unrealized losses on equities was Kshs5.5 billion
- Poor stock performance affected the Group's financial performance resulting in a loss before tax of Kshs1.7 billion (2010: Profit Kshs2.9 billion)
- It is important to note that the companies in which we hold significant stakes continued to record higher profits in 2011 in relation to 2010 suggesting that the current unfavourable trends on stock market values might correct in the short to medium term
- The insurance business returned a profit before tax of Kshs1.1 billion in 2011 against a profit of Kshs1.0 billion in 2010
- The asset management profit before tax increased to Kshs44 million in 2011 compared to Kshs24 million in 2010
- Assets under management increased to Kshs20.4 billion in 2011 compared with Kshs17.3 billion in 2010
- Total assets increased to Kshs25.7 billion in 2011 from Kshs25.4 billion in 2010
- A 6% interest on the deposit administration funds has been declared

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31 Dec 2011 Kshs' 000	31 Dec 2010 Kshs' 000
CAPITAL EMPLOYED		
Share capital	189,145	150,000
Share premium	3,164,455	-
Other reserves	3,531,204	6,127,936
Retained earnings	1,388,926	4,092,044
Proposed dividends	283,718	200,000
Shareholders' funds	8,557,448	10,569,980
REPRESENTED BY:		
Assets		
Property and equipment	653,360	581,420
Intangible assets	114,830	91,878
Investment in associate	1,360,608	-
Investment property	1,405,294	1,173,571
Available for sale quoted investments	3,409,402	5,979,690
Financial assets at fair value through profit or loss:		
- quoted ordinary shares	4,281,483	7,535,861
- unquoted ordinary shares	50,490	50,490
- government securities	216,334	361,360
- unit trusts	4,378,902	4,265,612
Government securities held to maturity	4,374,453	2,109,214
Corporate bond held to maturity	283,329	305,717
Mortgage loans	678,897	576,464
Loans to policy holders	247,304	303,418
Receivables arising out of reinsurance arrangements	-	10,081
Receivables arising out of direct insurance arrangements	287,756	161,277
Reinsurers' share of insurance liabilities	584,552	463,893
Receivables from related parties	9,106	2,696
Deferred acquisition costs	97,049	73,461
Deferred income tax	3,982	11,789
Other receivables	312,798	388,547
Deposits with financial institutions	2,463,976	500,102
Cash and bank balances	425,339	415,376
Total assets	25,639,244	25,361,917
Liabilities		
Insurance contract liabilities	7,370,421	6,346,198
Amount payable under deposit administration contracts	4,039,062	3,268,977
Liabilities under investment contracts	3,173,191	3,183,016
Unearned premium	982,778	715,745
Creditors arising from reinsurance arrangements	119,755	60,011
Retirement benefit liability	50,076	25,715
Bank loan	784,577	749,318
Other payables	546,610	418,408
Overdraft	1,154	1,360
Current income tax payable	14,172	23,189
Total liabilities	17,081,796	14,791,937
Net assets	8,557,448	10,569,980

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

Gross earned premiums	5,607,621	4,333,428
Less: reinsurance premium ceded	(670,914)	(674,672)
Net earned premiums	4,936,707	3,658,756
Fund management fees	238,315	195,852
Net earned premiums and management fees	5,175,022	3,854,608
Investment income	1,237,259	1,122,950
Fair value (losses)/gains on financial assets	(3,330,457)	3,561,685
Commissions earned	237,900	209,514
Other income	62,960	220,439
Net income	3,382,684	8,969,196
Claims and policy holder benefits payable	2,380,224	4,084,670
Less: amount recoverable from reinsurers	(146,897)	(266,562)
Net claims and policyholder benefits payable	2,233,327	3,818,108
Operating and other expenses	1,760,544	1,316,822
Commissions payable	1,192,335	960,677
Total expenses and commissions	2,952,879	2,277,499
Results of operating activities	(1,803,522)	2,875,589
Share of profit of the associate	79,436	-
(Loss) / profit before tax	(1,724,086)	2,875,589
Income tax expense	233,219	159,805
(Loss) / profit for the year	(1,957,305)	2,715,784
OTHER COMPREHENSIVE INCOME ITEMS NET OF TAX		
Gains on revaluation of land and buildings	24,915	13,533
(Losses) / gains on revaluation of available-for-sale financial assets	(2,245,832)	2,755,565
Currency translation losses	(8,159)	-
Total other comprehensive (loss) / income	(2,229,076)	2,769,098
Total comprehensive (loss) / income for the year	(4,186,381)	5,484,882
Earnings per share (basic and diluted)	(1.09)	1.81
Dividend per share	0.15	0.13

CORPORATE ACTIONS

Dividend

The Directors have resolved to recommend to members at the forthcoming 16th Annual General Meeting a first and final dividend for the year ended 31 December 2011 of Kshs0.15 per ordinary share of par value of Kshs0.10 each, subject to withholding tax where applicable, to be paid on or about Friday, 25 May 2012. The register of members will be closed for one day on Friday, 27 April 2012, for the purpose of processing the dividend.

Annual General Meeting

Notice is hereby given that the 16th Annual General Meeting of the shareholders of British American Investments Company (Kenya) Limited will be held at the Bomas of Kenya, Langata Road, Nairobi on Friday, 20 April 2012 at 10.00 am. Full Notice and Agenda will be published at a later date.

Statement from the Directors

The above are extracts from the financial statements which were audited by PricewaterhouseCoopers and received an unqualified opinion. The financial statements were approved by the Board of Directors on 21 March 2012 and signed on its behalf by:

J. Nicholas Ashford - Hodges - Chairman

Benson I. Wairegi - Group Managing Director

BRITISH-AMERICAN INSURANCE COMPANY (KENYA) LIMITED

The Board of Directors is pleased to announce the audited results of the Insurance Company for the year ended 31 December 2011



STATEMENT OF FINANCIAL POSITION

	Long Term Business Kshs '000	Short Term Business Kshs '000	Total 2011 Kshs '000	Total 2010 Kshs '000
1. SHAREHOLDERS FUNDS				
1.1 Share capital	180,000	300,000	480,000	480,000
1.2 Other reserves	3,179,196	(148,589)	3,030,607	6,082,551
1.3 Retained earnings	-	318,002	318,002	591,073
1.4 Proposed dividends	-	300,000	300,000	250,000
TOTAL SHAREHOLDERS FUNDS	3,359,196	969,413	4,328,609	7,403,624
2. ASSETS				
2.1 Property and equipment	385,337	24,271	409,608	360,856
2.2 Intangible assets	89,139	15,815	104,954	85,021
2.3 Prepaid operating lease rentals	-	-	-	-
2.4 Investment property	1,581,362	-	1,581,362	1,344,934
2.5 Investment in equity	(2,111,301)	149,307	1,360,608	-
2.6 Investment in Associates	2,104,247	235,447	2,339,694	5,979,688
2.7 Available for sale quoted investments	-	-	-	-
2.8 Investment at fair value through profit or loss:				
- quoted investments	1,997,450	115,296	2,112,746	3,154,692
- unquoted ordinary shares	50,490	-	50,490	50,490
- government securities	186,078	302,56	216,334	161,360
- unit trusts	3,677,898	142,097	3,819,995	4,217,196
2.9 Government Securities held to maturity	3,452,427	897,299	4,349,726	2,101,836
2.10 Corporate bond	232,534	50,795	283,329	305,717
2.11 Mortgage loans	678,897	-	678,897	576,464
2.12 Loans to policyholders	247,304	-	247,304	303,418
2.13 Receivables arising out of reinsurance arrangements	-	-	-	10,081
2.14 Receivables arising out of direct insurance arrangements	53,871	222,985	276,856	161,277
2.15 Reinsurers share of insurance contract liabilities	63,783	520,769	584,552	483,803
2.16 Loans and receivables from related parties	63,721	147,071	210,792	788,645
2.17 Deferred acquisition costs	-	95,415	95,415	73,461
2.18 Other receivables	154,149	65,828	219,977	367,827
2.19 Deposits in financial institutions	916,425	315,950	1,232,375	331,756
2.20 Cash and bank balances	283,087	129,929	413,016	384,556
TOTAL ASSETS	17,429,500	3,158,330	20,587,830	21,423,168
3. LIABILITIES				
3.1 Insurance contract liabilities	6,373,788	989,800	7,363,588	6,346,198
3.2 Payable under deposit administration contracts	4,039,062	-	4,039,062	3,268,977
3.3 Payable under investment contracts	3,173,191	-	3,173,191	3,183,016
3.4 Unearned premium	-	963,606	963,606	715,745
3.5 Creditors arising from reinsurance arrangements	48,090	70,369	118,459	60,011
3.6 Reinsurance benefit liability	50,076	-	50,076	25,715
3.7 Payable to related local parties	-	28,860	28,860	-
3.8 Other payables	371,613	111,159	482,772	381,688
3.9 Overdraft	1,028	126	1,154	1,360
3.10 Current income tax payable	1,3456	24,997	38,453	36,834
TOTAL LIABILITIES	14,070,304	2,188,917	16,259,221	14,019,544
NET ASSETS	3,359,196	969,413	4,328,609	7,403,624
Key Ratios				
Capital adequacy	120%	100%	107%	107%
Solvency ratio	210%	242%	217%	222%
Claims ratio	42%	48%	44%	92%
Expense ratio	53%	28%	44%	43%

STATEMENT OF COMPREHENSIVE INCOME

	Long Term Business Kshs '000	Short Term Business Kshs '000	Total 2011 Kshs '000	Total 2010 Kshs '000
INCOME				
Gross earned premium	3,472,187	2,111,246	5,583,433	4,333,428
Outward reinsurance premium ceded	(218,167)	(441,479)	(659,646)	(674,672)
Net earned premium (1-2)	3,254,020	1,669,767	4,923,787	3,658,756
Investment income	446,878	80,222	527,100	2,675,616
Commission earned	91,663	143,542	235,205	209,497
Other income	52,187	10,774	62,961	220,439
Total income (3+4+5+6)	3,844,748	1,904,305	5,749,053	6,764,308
OUTGO				
Claims & policy benefits	1,470,424	901,912	2,372,336	4,084,670
Reinsurers share of claims	(47,497)	(99,400)	(146,897)	(266,562)
Net claims and policyholders benefits (8-9)	1,422,927	802,512	2,225,439	3,818,108
Commission payable	872,000	302,304	1,174,304	949,255
Operating and other expenses	984,138	293,903	1,278,041	959,697
Total Outgo (10+11+12)	3,279,065	1,398,719	4,677,784	5,727,060
Results of operating activities (7-13)	565,683	505,586	1,071,269	1,037,248
Share of associates profit	70,698	8,738	79,436	-
Profit for the year before tax (14+15)	636,381	514,324	1,150,705	1,037,248
Income tax expense	52,500	159,895	212,395	145,642
Profit for the year after tax (16-17)	583,881	354,429	938,310	891,606
OTHER COMPREHENSIVE INCOME, NET OF TAX				
Fair value gains on property and equipment	20,210	-	20,210	(19,254)
Fair value (losses) gains on available for sale financial assets	(1,327,985)	(148,589)	(1,476,574)	2,755,565
Recycling of fair value changes on sale of equities	(1,901,666)	(155,295)	(2,056,961)	-
Total other comprehensive income for the period	(3,209,441)	(303,884)	(3,513,325)	2,736,311
Total Profit and Other Comprehensive Income (18+22)	(2,625,560)	50,545	(2,575,015)	3,627,917
Dividends:				
Proposed dividend	-	300,000	300,000	250,000
Earning per share	-	-	1.95	1.86

STATEMENT OF MOVEMENT IN DEPOSIT ADMINISTRATION AND INVESTMENT CONTRACT LIABILITIES

Amounts payable under deposit administration contracts			
At 1 January		3,268,977	2,754,617
Pension fund deposits received		977,139	854,542
Surrenders and annuities paid		(424,760)	(737,039)
Interest payable to policyholders		217,706	306,857
At 31 December		4,039,062	3,268,977
Investment contracts liabilities			
At 1 January		3,183,016	1,640,901
Deposits received		1,249,229	1,250,836
Liabilities released for payments		(274,659)	(3,453)
Fair value (losses) / gains on investment contracts		(983,395)	294,732
At 31 December		3,173,191	3,183,016

The above are extracts from the financial statements which were audited by PricewaterhouseCoopers and received an unqualified opinion. The financial statements were approved by the Board of Directors on 7 March 2012 and signed on its behalf by:

J. Nicholas Ashford – Chairman

Benson L. Wairegi – Group Managing Director

Stephen O. Wandera – Managing Director

AWARDS



British-American is proud and delighted to have won the prestigious AKI Company of the Year Award for the fifth year in a row.



- The prestigious AKI Agent of the Year Company Award for the last 5 consecutive years
- East African Superbrand Winner 2009/10 - The only insurance company in the country to receive the accolade
- Unit Trusts of the Year Award by Think Business

- Mr. Benson Wairegi, CEO of the year 2011 1st Runner up in the Company of the Year Awards by Kenya Institute of Management
- Think Business Insurance Awards 2011, 1st Runner up Best Life Business Insurance Company
- Company of the Year Award (COYA) – Marketing and Customer Orientation 2010

Consolidated statement of cash flows

	Year ended 31 December	
	2011	2010
	Shs'000	Shs'000
Operating activities		
Cash generated from operations	2,418,233	1,698,851
Income tax paid	(217,312)	(100,096)
Net cash generated from operating activities	2,200,921	1,598,755
Investing activities		
Purchase of property and equipment	(110,573)	(97,467)
Purchase of intangible assets	(41,543)	(34,420)
Purchase of investment property	(16,870)	(279,229)
Sale of investment property	717	270,717
Investment in associate	(516,795)	-
Net investment in government securities at fair value through profit or loss	92,981	162,200
Net investment in government securities held to maturity	(2,265,239)	(587,271)
Investment in unit trusts	(1,102,466)	(1,441,964)
Maturity /(purchase) of corporate bond	22,388	(17,869)
Purchase of quoted shares at fair value through profit or loss	(32,235)	(348,712)
Proceeds from disposal of quoted shares- at fair value through income statement	251,627	405,764
Purchase of available for sale quoted shares	-	(414,372)
Proceeds from disposal of available for sale quoted shares	324,456	472,352
Purchase of unquoted shares	-	(50,490)
Purchase of treasury shares	(829,752)	-
Mortgage loans advanced	(243,737)	(29,784)
Mortgage loans repayments	141,304	113,197
Policy loans advanced	(202,259)	(164,909)
Policy loans repayments	258,373	219,280
Dividend received	416,044	251,395
Rent and interest received	358,833	813,272
Net cash used in investing activities	(3,494,746)	(758,310)
Cash flows from financing activities		
Loan received	29,000	-
Loan repayment	(87,535)	(94,855)
Proceeds from sale of Company Shares via Initial Public Offer	3,526,403	-
Dividends paid	(200,000)	(180,000)
Net cash generated from /(used in) financing activities	3,267,868	(274,855)
Net increase in cash and cash equivalents	1,974,043	565,590
At start of year	914,118	348,528
At end of year	2,888,161	914,118

Consolidated statement of changes in equity

Attributable to equity holders of the Company

Year ended 31 December 2010	Share capital Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000
At start of year	150,000	3,207,206	1,729,892	120,000	5,207,098
Comprehensive income					
Profit for the year	-	-	2,713,784	-	2,713,784
Other comprehensive income:					
Gains on revaluation of land and buildings	-	13,533	-	-	13,533
Fair value losses on available-for-sale financial assets	-	2,755,565	-	-	2,755,565
Total other comprehensive income	-	2,769,098	-	-	2,769,098
Total comprehensive income for the year	-	2,769,098	2,713,784	-	5,482,882
Transfer to other reserves		151,632	(151,632)	-	-
Transactions with owners					
Dividends:					
- Final for 2009 paid	-	-	-	(120,000)	(120,000)
- Proposed final for 2010	-	-	(200,000)	200,000	-
Total transactions with owners	-	-	(200,000)	80,000	(120,000)
At end of year	150,000	6,127,936	4,092,044	200,000	10,569,980

Consolidated statement of changes in equity (continued)

Attributable to equity holders of the Company

Year ended 31 December 2011	Share capital Shs'000	Share Premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000
At start of year	150,000	-	6,127,936	4,092,044	200,000	10,569,980
Comprehensive income						
Loss for the year	-	-	-	(1,957,305)	-	(1,959,482)
Other comprehensive income:						
Gains on revaluation of land and buildings	-	-	24,915	-	-	24,915
Currency translation losses	-	-	(8,159)	-	-	(8,159)
Fair value losses on available-for-sale financial assets	-	-	(2,245,832)	-	-	(2,245,832)
Total other comprehensive income	-	(2,229,076)	-	-	-	(2,229,076)
Total comprehensive income for the year	-	(2,229,076)	(1,957,305)	-	-	(4,186,381)
Transfer to other reserves	-	-	462,096	(462,096)	-	-
Transactions with owners						
Proceeds from shares issued	39,145	3,164,455	-	-	-	3,203,600
Purchase of Treasury shares	-	-	(829,752)	-	-	(829,752)
Dividends:						
- Final for 2010 paid	-	-	-	-	(200,000)	(200,000)
- Proposed final for 2011	-	-	-	(283,718)	283,718	-
Total transactions with owners	39,145	3,164,455	(829,752)	(283,718)	83,718	2,173,848
At end of year	189,145	3,164,455	3,531,204	1,388,925	283,718	8,557,447